IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 07/BB/2018
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 16th January 2019

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

FLIPKART LOGISTICS PRIVATE LIMITED,
(Petitioner No.1/Transferor Company No.1)
AND
DSYN TECHNOLOGIES PRIVATE LIMITED
("Transferor Company No.2")
AND
ADIQUITY TECHNOLOGIES PRIVATE LIMITED,
(Petitioner No.2/Transferor Company No.3)
AND
INSTAKART SERVICES PRIVATE LIMITED,
(Petitioner No.3/Transferee Company)

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

FLIPKART LOGISTICS PRIVATE LIMITED,
Brigade Manae Court, First Floor,
No.111, Industrial Layout, Koramangala,
Bengaluru-560 095 - **Petitioner No.1 /Transferor Company No.1**

DSYN TECHNOLOGIES PRIVATE LIMITED
Registered with Registrar of Companies, Haryana - **Transferor Company No.2**

ADIQUITY TECHNOLOGIES PRIVATE LIMITED,
Brigade Manae Court, First Floor,
No.111, Industrial Layout, Koramangala,
Bengaluru-560 095 - **Petitioner No.2/ Transferor Company No.3**

INSTAKART SERVICES PRIVATE LIMITED
Brigade Manae Court, First Floor,
No.111, Industrial Layout, Koramangala,
Bengaluru-560 095 - **Petitioner No.3/ Transferee Company**

For the Petitioner: Shri Mukesh Yadav, Advocate,
M/s. LEXport, Advocates and Legal Consultants

For the Central Government: Smt. Prema Hatti, Standing Counsel

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 06.02.2018, 09.02.2018, 27.03.2018, 25.04.2018, 04.06.2018, 06.07.2018, 01.08.2018, 05.09.2018, 28.09.2018, 15.10.2018, 29.11.2018, and 12.12.2018

ORDER

1. The Company Petition was filed jointly by Petitioner Companies under Section 230 to 232 of the Companies Act, 2013 praying for the sanction the scheme so as to be binding in terms thereof on the Petitioner Companies and their respective shareholders and creditors.

2. The averments made in the Company Petition are briefly described hereunder:-

   1) The Petitioner Companies seek an order for sanctioning the Scheme so as to be binding in terms thereof on the Petitioners Companies and their respective shareholder and creditors.

   2) The Petitioner No.1/Transferor Company No.1 was incorporated on 13.12.2011 under the name and style of '*Flipkart Digital Private Limited*'. Subsequently on 12.10.2012 the name of the Petitioner No.1/Transferor Company No.1 was changed to '*Flipkart Payment Gateway Services Private Limited*'. On 27.04.2015 the name of the Petitioner No.1/Transferor Company No.1 was changed to its present name i.e., "*Flipkart Logistics Private Limited*" under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U74900KA2011PTC061609. The Registered office of the Petitioner No.1/Transferor Company is situated at Brigade Manae Court, First Floor, No.111, Industrial Layout, Koramangala, Bengaluru-560 095.

   3) The object of the Petitioner No.1/Transferor Company No.1 as set out in its Memorandum of Association is inter alia to carry on the business of clearing and forwarding agents, courier and cargo handlers, handling and haulage contractors, warehousemen, common carriers by land, rail, water and air, container agents, to handle goods and passengers within the country and outside and to carry on the business of tour and travel operators and to act as custom agents, harfingers,

landing agents, stevedores and longshoremen, etc. The details of the objects are given in the Memorandum of Association of Petitioner No.1/Transferor Company No.1.

4) The latest authorised share capital of the Petitioner No.1/Transferor Company as on 31st March, 2017 is Rs.50,00,000/- divided into 50,00,000 Equity Shares of Re.1/- each. The issued, subscribed and paid-up capital of the Petitioner Company No.1/Transferor Company is Rs.4,13,435/- divided into 4,13,435 Equity Shares of Re.1/- each.

5) The Petitioner No.2/Transferor Company No.3 was incorporated on 20.01.2006 under the name and style of '*Terrawiz Software Technologies Private Limited'*. Subsequently on 17.08.2006 the name of Petitioner No.2/Transferor Company No.3 changed to "*Guruji.com Software Private Limited*". On 22.05.2012 the name of the Petitioner No.2/Transferor Company No.3 was changed to '*AdIQuity Technologies Private Limited*' under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U85110KA2006PTC038285. The Registered office of the Petitioner No.2/ Transferor Company No.3 is situated at Brigade Manae Court, First Floor, No.111, Industrial Layout, Koramangala, Bengaluru-560 095.

6) The object of the Petitioner No.2/ Transferor Company No.3 as set out in its Memorandum of Association is inter alia to engage in business of Information Technology in all its spheres including but not limited to Software Development, Software services, provide Information Technology Enabled Services, e-CRM services, Customer Acquisition and Retention Services, Customer Contact/Call Centres, Transcription Services, Business Processes Outsourcing Services, Back Office operation and management services, Application Development, etc. The details of the objects are given in the Memorandum of Association of Petitioner No.2/ Transferor Company No.3.

7) The latest authorised share capital of the Petitioner No.2/ Transferor Company No.3 as on 31st March, 2017 is Rs. 95,00,000/- divided into 1,90,00,000 Equity Shares of Rs.0.50/- each. The issued, subscribed and paid-up capital of the

Petitioner No.2/ Transferor Company No.3 is Rs.33,27,335/- divided into 66,54,670 Equity Shares of Rs.0.50/- each.

8) The Petitioner No.3/Transferee Company was incorporated on 08th June, 2015 under the name and style of '*Instakart Services Private Limited*' under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U74900KA2015PTC080778. The Registered office of the Petitioner/Transferee Company is at Brigade Manae Court, First Floor, No. 111, Industrial Layout, Koramangala, Bengaluru-560095.

9) The object of the Petitioner No.3/Transferee Company as set out in its Memorandum of Association is inter alia To carry on the business of storage, warehousing, transportation and handling of all kinds of transport service/s and/business of courier and allied services including but not limited to the business of storage, packaging, carriage that of collecting any documents goods, articles, things on behalf of customers and to deliver them at specified places, cities, country and to provide reverse pick up facility and to act as Forwarding Agents, Commission Agents, Distributors and Stockists, Brokers and/or in any other capacity and to provide e-commerce solutions and services either directly or indirectly from time to time, etc. The details of the objects are given in the Memorandum of Association of Petitioner No.3/Transferee Company.

10) The latest authorised share capital of the Petitioner No.3/Transferee Company as on 31st March, 2017 is Rs.4000,00,00,000/- (Rupees Four Thousand Crores only) divided into 400,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No.3/Transferee Company is Rs.793,38,70,700/- (Rupees Seven Hundred and Ninety Three Crores, Thirty Eight Lakhs, Seventy Thousand Seven Hundred only) divided into 79,33,87,070 Equity Shares of Rs.10/- each, fully paid up.

11) The Board of Directors of the Petitioner No.1/Transferor Company No.1 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 31.07.2017. The Board of Directors of the Petitioner No.2/ Transferor Company No.3 have approved and adopted the Scheme of Amalgamation at its respective meeting held on 31.07.2017. The Board of Directors of the Petitioner

No.3/Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 31.07.2017.

12) The Petitioner Companies had filed Company Application No.(CAA) 89/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders and Creditors of the Petitioner Companies. This Tribunal vide its orders dated 03rd November 2017 allowed the Application and dispensed with convening of meeting of Equity Shareholders, Secured Creditors, Unsecured Trade Creditors and Unsecured Loan Creditors of the Company.

3. This Tribunal vide order dated 09th February, 2018 directed the Petitioner Companies to issue Notice to all relevant statutory authorities including RD, ROC, Income Tax Authorities, OL, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

4. In pursuant to the same the authorised signatory for the Petitioner Companies have filed a affidavit dated 09.03.2018 for having taken paper publication as directed and have also furnished the copy of the paper publications for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

5. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 31/2018 dated 27th February, 2018 making the following requests:

1) That the Official Liquidator may be permitted to appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of account and records of Transferor Company and to submit reports on the affairs of the Company.
2) That the Petitioner Company may be directed to pay the professional fees of the Chartered Accountant as may be mutually agreed and that in case the Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of the Chartered Accountant.

6. The Registrar of Companies, Karnataka has filed the observations dated 04.07.2018 making the following observations:

a) In Part II at Clause No. 8.5 of the Scheme it was mentioned that the Transferee Company is not required to pay any additional fees on the clubbing of authorised capital of the transferor companies with Transferee Company, in this regard as per Section 232(3) (i) of the Companies Act, 2013 transferee company has to pay the differential fee if any after setting off the fee already paid by the transferor companies on it.

b) Transferor Company No.1 and Transferor Company No.3 are owned and controlled by foreign entities/shareholders. In this regard, Transferee Company while allotting shares to them have to comply with the concerned regulations of FEMA/RBI.

c) Transferor Company No.1 and Transferor Company No.3 have not filed GNL-1 while the Transferee Company has filed the same.

d) Transferor Company No.2 M/s DSYN Technologies Private Limited is registered with RoC, Delhi.

e) The group company M/s Flipkart Internet Private Limited has been ordered for inquiry/scrutiny by the Ministry. The scrutiny is in process.

f) There are no prosecutions, complaints, and Technical Scrutiny pending in this office on the petitioner companies.

7. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 27th March, 2018 stating that the Company has not furnished the requisite information and documents to the Directorate as of 20.03.2018.

8. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 61/2018 dated 20th April, 2018 making the following submissions:

a) That T.S. Shivashankar & Co., Chartered Accountants were appointed to scrutinise the books of account and records of the Transferor Companies and submit their report, enabling the Official Liquidator to submit his report under Section 230-232 of the Companies Act, 2013.

b) That upon scrutiny of the books and record and other material made available by the Transferor Company, T.S. Shivashankar & Co., Chartered Accountants have submitted report dated 19.04.2018 with the Official Liquidator as under-

(i) The Transferor Companies have maintained books of accounts and statutory registers and papers up to date. The Transferor Companies have filed all necessary statutory returns with various authorities. The Transferor Companies were also regular in paying taxes and salaries of the Employees. The Transferor Companies have been regular in holding meetings of the Directors as required under law.

(ii) On scrutiny of the books and papers maintained and according to the information and explanations obtained from the Transferor Companies, we confirm that:

- The Transferor Companies have maintained proper books and papers.
- That the affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interests of the members or Public interest as per Companies Act, 2013.

9. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 23rd July, 2018 making some observations:

a. The contents of the ROC report dated 04.07.2018 at para No. 31 regarding non-filing of eform GNL-1 by the Transferor Company No.1 & 3 may be informed to Hon'ble NCLT.

b. In Clause 8.5 of the Scheme the petitioner transferee company has sought complete waiver of fee and stamp duty payable on account of consolidation of the authorised share capital of the transferor companies and transferee company which is not acceptable in view of the provisions of Sec.232(3) (i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorised capital after setting off the fee if any paid by the transferor Companies.

c. The appointed date in the scheme is 01.04.2017. As per Section 232(6) of the Companies Act, 2013, the scheme under this section shall clearly indicate an

appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Hence, Clause 1.4 of the Scheme regarding Effective Date needs modification.

d. The entire shareholding of Transferor Company No.1 is held by foreign shareholders. In respect of Transferor Company No.3 also 200 shares are held by foreign Shareholder Quick Routes International Private Limited, Singapore and the Balance shares of 66,54,470 equity shares are held by Guruji.com Technologies. However no details are furnished about this Shareholder. Nevertheless, since both Transferor Companies have foreign shareholders, the Transferee Company is to comply with the FEMA/RBI regulations. The petitioner company may be directed to provide the details of Guruji.com Technologies.

e. ROC in his report has stated that the inquiry of M/s Flipkart Internet Private Limited, one of the Group companies is pending. In this regard, it is observed that

   i. As per the Balance Sheet as at 31.03.2017, the Transferor Company No.1 has some Related Party Transaction with M/s Flipkart Internet Private Limited towards "Trade payables" both in the year 2015-2016 and 2016-2017

Nature of expenses	**31.03.2017**	**31.03.2016**
Trade payables	Rs.2,69,222/-	Rs.13,76,297/-

   ii. Transferor Company No.3 also had following transactions with M/s Flipkart Internet Private Limited:

Nature of expenses	**31.03.2017**	**31.03.2016**
Advertising revenue	2,03,87,412	6,26,47,610
Technical and support cost	93,25,275	4,86,33,589

Repairs and maintenance	67,57,775	---
Intercorporate loan received	1,46,00,000	7,00,00,000
Interest expense	1,00,29,028	64,47,139

iii. Transferee company also had the following transactions with M/s Flipkart Internet Private Limited:

Nature of expenses	**31.03.2017 (Rupees in Millions)**	**31.03.2016 (Rupees in Millions)**
Sales of services	4754.75	2932.00
Lost shipments	232.33	229.54
Intercorporate loan received	10,175.20	2510.00
Intercorporate loan repaid	9792.00	2510.00
Intercorporate loan payable	383.20	----

The group company M/s Flipkart Internet Private Limited is under inquiry and all the petitioner companies are having related party transactions with the said entity. Hence, the Transferee Company be directed to give an undertaking that it shall get the offences arising out of inquiry compounded by filing necessary compounding applications or liable for prosecution for all the violations of the Transferor as well as Transferee Company.

f. The letter addressed to the Transferor Company No.3 has returned undelivered with the postal remarks "Left" confirming that the Transferor Company No.3 is not maintaining its registered office thereby is in violation of section 12 of the Companies Act, 2013. The Transferor Company No.3 may be directed to update its changed registered office address in the MCA records by filing necessary e-forms with ROC and get the offence adjudicated before the petition is allowed by NCLT as it is going to be dissolved without winding up.

10. The Authorized Signatory of the Petitioner Companies have filed reply Affidavit dated 05th September, 2018 in furnishing response to the affidavit on behalf of the Regional Director, stating that:-

i. The Transferor Company No.1 and 3 have filed their respective e-form GNL-1 and have produced acknowledgement for the same.

ii. In terms of Section 232(3)(i) of the Companies Act, 2013, the Transferee Company undertakes to pay the differential fee, if any, payable after adjusting the fee already paid by the Transferor Companies on its authorised share capital which is allowed to be set off against the fee payable by the Transferee Company on its authorised share capital subsequent to amalgamation.

iii. The Effective Date in Clause 1.4 of the Scheme is a defined term for the purpose of determining the date on which the Scheme shall become operative. The Scheme shall be effective from the Appointed Date as defined in Clause 1.2 of the Scheme. Further, the Petitioner Companies undertake that Scheme shall be effective from the Appointed Date as defined in Clause 1.2 and not a date subsequent to the Appointed Date unless otherwise directed by the Hon'ble Tribunal.

iv. The Transferee Company undertakes to comply relevant provisions of FEMA/RBI Regulations as applicable to the issuance of shares to foreign entities/shareholders pursuant to the Scheme of amalgamation. It is further submitted that the copy of the Chartered Accountant certificate certifying the list of equity shareholders of the Transferor Company No.3 is annexed and has details of Guruji.com Technologies.

v. It is submitted that Flipkart Internet Private Limited is a separate legal entity and as submitted by the Learned RD that the present enquiry is limited to the affairs of

Flipkart Internet Private Limited only. It is further submitted that the concern or apprehension of the RD is already covered under Clause 4(a) of the Scheme which provides that all suits, actions and legal proceedings against Transferor Companies arising on or before the effective date shall be enforced by or against the Transferee Company on or after the Effective Date. Thus, in view of the said provisions of Scheme, it is submitted that there is no need to file a separate undertaking in this regard since the same has already been covered under the provisions of Scheme.

vi. The Transferor Company No.3 is maintaining its registered office at the address mentioned in the Memo of Parties filed along with the Petition. On perusal of the Memo of Parties, it is evident that the Petitioner Companies have common registered office address and it is not the case of the RD that the letters addressed to the other Petitioner Companies are also undelivered. Thus, it is submitted that the Transferor Company No.3 is maintaining its registered office and therefore, there is no need to file any compounding application for the same.

11. The Authorized Signatory of the Petitioner Companies have filed reply Affidavit dated 05th September, 2018 in furnishing response to the affidavit on behalf of the Registrar of Companies, stating that:-

i. In terms of Section 232(3)(i) of the Companies Act, 2013, the Transferee Company undertakes to pay the differential fee, if any, payable after adjusting the fee already paid by the Transferor Companies on its authorised share capital which is allowed to be set off against the fee payable by the Transferee Company on its authorised share capital subsequent to amalgamation.

ii. The Transferee Company undertakes to comply with the relevant provisions of FEMA/RBI as applicable to the issuance of shares to foreign entities/shareholders pursuant to the scheme of amalgamation.

iii. The Transferor Company No.1 and 3 have filed their respective e-form GNL-1 and have produced the acknowledgment for the same.

iv. It is submitted that the observations of the Registrar of Companies at Paragraph 31(4), (5) and (6) are factual details and therefore, does not require any specific clarification/explanation.

12. After hearing the Counsel for the Petitioner Companies and considering the materials on record, it is observed that the Transferor Company No.2, M/s. DSYN Technologies Private Limited is not registered with Registrar of Companies, Bengaluru and is subject to the jurisdiction of NCLT, Chandigarh Bench. It is further noted that the Registrar of Companies has stated that the report of the Ministry of Corporate Affairs regarding the enquiry of the group company, Flipkart Internet Private Limited will take some time. Hence, **we are of the opinion that the above scheme may be resubmitted after the report from the Ministry of Corporate Affairs is given and once the issue crystallises as it may be premature to allow the Scheme as of now.**

13. Generally, it has been observed that companies which are undergoing restructuring, file the applications (whether joint or individual) together. In case a petition relating to one of the parties in another pending petition is filed, the said fact ought to be disclosed in the latter Petition. It is observed that the Petitioner Company No.3/Transferee Company has recently been involved in another amalgamation [C.P.(CAA) No. 25/BB/2018] wherein the present proceedings, which were pending at the time of filing of that Petition, were not disclosed in that Petition. It is seen that the lack of any mention of the pendency of other proceedings relating to the Transferee Company, which was simultaneously being heard before this Tribunal, is incongruent with the submissions made in the Petition.

14. Hence the C.P (CAA) No. 07/BB/2018 is disposed of with liberty to file afresh once the report from the Ministry of Corporate Affairs regarding the enquiry of the group company, Flipkart Internet Private Limited is fructified.

15. The Registry is directed to provide a copy of this Order to Registrar of Companies, Karnataka as well as Registrar, NCLT, Chandigarh Bench for their information.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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